SAQR AL WADI CONTRACTING CO. (LIMITED LIABILITY COMPANY)
Riyadh, Kingdom of Saudi Arabia · CR 1010487223

FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025

Al Rimal & Partners — Chartered Accountants, Riyadh

AL RIMAL & PARTNERS
Chartered Accountants · Licence No. 512
Al Malaz Tower, 9th Floor, Salah Al Din Street
P.O. Box 22741, Riyadh 11416, Kingdom of Saudi Arabia
Tel +966 11 478 2200 · audit@alrimal-cpa.com.sa

INDEPENDENT AUDITOR'S REPORT
To the shareholders of Saqr Al Wadi Contracting Co. (Limited Liability Company)

Opinion

We have audited the financial statements of Saqr Al Wadi Contracting Co. (Limited Liability Company) (the Company), which comprise the statement of financial position as at 31 December 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements. In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 December 2025, and its financial performance and its cash flows for the year then ended in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) endorsed in the Kingdom of Saudi Arabia.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing endorsed in the Kingdom of Saudi Arabia. We are independent of the Company in accordance with the code of professional conduct and ethics endorsed in the Kingdom. We believe the audit evidence we obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

We draw attention to note 6, which describes the uncertainty over recovery of SAR 9,812,400 due from Nawras Building Co., overdue for more than 180 days at the reporting date and subject to arbitration. Management expects full recovery and has not recorded an impairment beyond the expected credit loss allowance. Our opinion is not modified in respect of this matter.

Responsibilities of management

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS for SMEs and the Regulations for Companies, and for such internal control as management determines necessary.

For Al Rimal & Partners
Abdulaziz M. Al Rimal, Certified Public Accountant, Licence No. 512
Riyadh, 18 April 2026

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

	Note	31 Dec 2025 SAR	31 Dec 2024 SAR
ASSETS			
Non-current assets			
Property, plant and equipment	5	44,215,800	38,692,450
Total non-current assets		44,215,800	38,692,450
Current assets			
Inventories		4,912,300	4,203,800
Trade receivables, net	6	81,694,550	58,318,720
Contract assets	7	19,786,410	12,406,330
Retentions receivable	7	12,312,900	9,594,260
Cash and cash equivalents		4,294,040	6,084,890
Total current assets		123,000,200	90,608,000
TOTAL ASSETS		167,216,000	129,300,450
EQUITY AND LIABILITIES			
Equity			
Share capital	8	25,000,000	25,000,000
Statutory reserve		3,000,000	3,000,000
Retained earnings		13,078,805	5,012,440
Total equity		41,078,805	33,012,440
Non-current liabilities			
Long-term borrowings	9	12,395,000	10,600,000
Employees' end-of-service benefits		4,304,595	3,775,710
Total non-current liabilities		16,699,595	14,375,710
Current liabilities			
Trade payables	10	38,912,600	29,812,300
Short-term borrowings	9	58,020,000	41,600,000
Current portion of long-term borrowings	9	5,105,000	4,200,000
Accruals and other payables		6,378,600	5,394,700
Zakat payable	11	1,021,400	905,300
Total current liabilities		109,437,600	81,912,300
Total liabilities		126,137,195	96,288,010
TOTAL EQUITY AND LIABILITIES		167,216,000	129,300,450

The financial statements were approved by management on 15 April 2026 and signed on its behalf by:

Khalid Saad Al Harbi
Chairman and General Manager

Sameer Haddad
Chief Financial Officer

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

	Note	2025 SAR	2024 SAR
Revenue from contracts with customers	12	214,912,430	182,406,115
Cost of revenue	13	(186,318,205)	(156,082,940)
Gross profit		28,594,225	26,323,175
General and administrative expenses	14	(10,912,340)	(9,688,410)
Operating profit		17,681,885	16,634,765
Finance costs	9	(5,594,120)	(3,912,460)
Profit before zakat		12,087,765	12,722,305
Zakat	11	(1,021,400)	(905,300)
Net profit for the year		11,066,365	11,817,005
Other comprehensive income		-	-
Total comprehensive income for the year		11,066,365	11,817,005

Depreciation included in cost of revenue and general and administrative expenses: SAR 6,410,250 (2024: SAR 4,985,600).

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2025

SAR	Share capital	Statutory reserve	Retained earnings	Total
Balance at 1 January 2024	10,000,000	3,000,000	10,695,435	23,695,435
Net profit for the year	-	-	11,817,005	11,817,005
Transfer to share capital (note 8)	15,000,000	-	(15,000,000)	-
Dividends declared and paid	-	-	(2,500,000)	(2,500,000)
Balance at 31 December 2024	25,000,000	3,000,000	5,012,440	33,012,440
Balance at 1 January 2025	25,000,000	3,000,000	5,012,440	33,012,440
Net profit for the year	-	-	11,066,365	11,066,365
Dividends declared and paid	-	-	(3,000,000)	(3,000,000)
Balance at 31 December 2025	25,000,000	3,000,000	13,078,805	41,078,805

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2025

	2025 SAR	2024 SAR
Operating activities		
Profit before zakat	12,087,765	12,722,305
Adjustments: depreciation	6,410,250	4,985,600
Adjustments: finance costs	5,594,120	3,912,460
Adjustments: end-of-service benefits, net	528,885	735,945
Changes in working capital:		
Inventories	(708,500)	(563,800)
Trade receivables	(23,375,830)	(11,103,320)
Contract assets	(7,380,080)	(2,286,330)
Retentions receivable	(2,718,640)	(1,583,760)
Trade payables	9,100,300	4,672,300
Accruals and other payables	983,900	775,300
Zakat paid	(905,300)	(780,600)
Net cash from / (used in) operating activities	(383,130)	11,486,100
Investing activities		
Purchase of property, plant and equipment	(11,933,600)	(8,101,050)
Net cash used in investing activities	(11,933,600)	(8,101,050)
Financing activities		
Net movement in short-term borrowings	16,420,000	7,800,000
Net movement in long-term borrowings	2,700,000	(3,900,000)
Finance costs paid	(5,594,120)	(3,912,460)
Dividends paid	(3,000,000)	(2,500,000)
Net cash from / (used in) financing activities	10,525,880	(2,512,460)
Net change in cash and cash equivalents	(1,790,850)	872,590
Cash and cash equivalents at 1 January	6,084,890	5,212,300
Cash and cash equivalents at 31 December	4,294,040	6,084,890

NOTES TO THE FINANCIAL STATEMENTS (SELECTED)

1. Organisation and activities. The Company is a limited liability company registered in Riyadh under Commercial Registration 1010487223 dated 20 February 2011. Its activities are general construction of non-residential buildings, civil and infrastructure works and site preparation.

2. Basis of preparation. The financial statements are prepared under the historical cost convention in accordance with IFRS for SMEs endorsed in the Kingdom of Saudi Arabia and are presented in Saudi Riyals (SAR).

3. Revenue recognition. Contract revenue is recognised over time using the input method based on costs incurred relative to total estimated contract costs.

5. Property, plant and equipment. Mainly heavy construction equipment and vehicles. Additions during the year SAR 11,933,600; depreciation SAR 6,410,250.

6. Trade receivables. Gross trade receivables SAR 83,104,550 less expected credit loss allowance SAR 1,410,000. Receivables overdue more than 180 days amount to SAR 14,612,400, of which SAR 9,812,400 is due from Nawras Building Co. and is under arbitration (hearing scheduled January 2027). The three largest customers represent 52% of gross receivables.

7. Contract assets and retentions. Contract assets represent work performed and not yet certified by customers. Retentions are released on completion and expiry of the defects liability period, typically 12 months.

8. Share capital. Share capital of SAR 25,000,000 consists of 2,500,000 shares of SAR 10 each, held by Khalid Saad Al Harbi (60%), Faisal Saad Al Harbi (25%) and Nasser Saad Al Harbi (15%). In 2024 the shareholders resolved to increase share capital from SAR 10,000,000 to SAR 25,000,000 by transfer from retained earnings.

9. Borrowings. Short-term borrowings comprise Murabaha working capital facilities from local banks at SAIBOR plus 2.00% to 2.75%. Long-term borrowings are equipment Murabaha facilities repayable in quarterly instalments to 2029, secured by the financed equipment. Total borrowings at 31 December 2025: SAR 75,520,000 (2024: SAR 56,400,000). Facilities with one bank include covenants on debt to equity and debt service coverage.

10. Related party transactions. Purchases of ready-mix concrete from Al Wadi Ready Mix LLC, an entity under common ownership, amounted to SAR 11,240,000; balance payable at year end SAR 3,860,000.

11. Zakat. The Company has filed zakat returns up to the prior year and obtained the zakat certificate. Zakat is charged on the adjusted zakat base.

15. Commitments and contingencies. Letters of guarantee issued by banks on behalf of the Company outstanding at year end: SAR 27,400,000 (performance, advance payment and bid bonds).

16. Subsequent events. There were no significant events after the reporting date requiring adjustment or disclosure.